

Bachelor's Thesis

**KAIZEN STRATEGIES FOR IMPROVING PLANNING AND PRODUCTION
FLOW IN PHARMACEUTICAL ENVIRONMENTS**

Double degree in Chemical Engineering and Industrial Electronics and Automation.

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Report and Annex

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1 Abstract

2 Resum

3 Resumen

4 Glossary

Contents

1	Abstract	1
2	Resum	2
3	Resumen	3
4	Glossary	4
5	Preface	6
5.1	The KAIZEN™ Philosophy	6
6	The Problem at hand	8
6.1	Introducing the company	8
6.2	Scope and pilots	8
7	Improvement of Line Efficiency	10
7.1	Objective Function	10
7.2	OEE and profits calculation method	10
7.2.1	Availability	10
7.2.2	Performance	11
7.2.3	Quality	11
7.2.4	OEE calculation	11
7.2.5	Profit Calculation	11
7.3	Identifying improvement opportunities	12
8	References	13

5 Preface

5.1 The KAIZEN™ Philosophy

After World War II, Toyoda Kiichiro, then president of the Toyota Motor Company, saw the need to catch up with America to assure the survival of the automobile industry of Japan. Taiichi Ohno, Toyota's engineer, had a challenge: how to build a diversified line of products with the limited equipment Toyota possessed at the time. Instead of using batch production, he designed a system of integrated production that used one-piece flow, demonstrating that a trade-off between quality and productivity does not need to exist (Netland and Powell, 2016). Aligned with other practices, Toyota Production System (TPS) was born to defy the premise that bigger batches mean lower costs.

TPS, which ultimate goal is the absolute elimination of waste, is based in two pillars: just-in-time (JIT) and autonomation (automation with a human touch). The lack of the necessary capital resources to support high inventory levels was solved with the implementation of a just-in-time pull system. JIT means "to produce the necessary units at the necessary quantities at the necessary time". A company establishing this flow throughout can approach zero inventory. With autonomation, Toyota intended to create a built-in automatic checking system against small abnormalities. With this prevention mechanism, defective products were not produced. That was not the only advantage. While the machine is working properly, employees are liberated. Consequently, one worker could attend multiple machines, increasing production efficiency. Furthermore, autonomation came as a facilitator of improvement. Stopping the machine creates awareness and, through the total comprehension of the problem, improvement measures can be taken. (Ohno, 1988) Lean, based on TPS, is a methodology that accentuates customer needs, to improve quality and reduce costs through continuous improvement and employee involvement (Graban, 2008). KAIZEN™, a Japanese word, refers to the concept of continuous improvement. It does not intend to be mistaken as innovation or disruption and elevated costs. On the other hand, KAIZEN™ is about small and subtle improvements. It is a low-cost low-risk process that assures incremental progress and sustainable changes in the long term.

At the beginning of the 21st century, Toyota Motor Company surpassed General Motors and became the world leader in automobile production, expanding and elevating the KAIZEN™ concept for its key role in the company's success. KAIZEN™'s methodology is based on five fundamental principles described in Massaki and Sanchez's book [1] :

- Create customer value

Value is what the customer is willing to pay for. Using a market-in approach to make informed decisions based on what the customers want and offer them that in the best way possible, improving customer experience.

- Create flow efficiency

Flow efficiency can be obtained through the elimination of three Ms: Muda (waste), Mura (unevenness) and Muri (overburden). The concept of Muda primarily originated from Taiichi Ohno's production philosophy in the early 1950s. He defined, in the industrial context he was inserted, seven sources of Muda: overproduction, waiting, inventory, motion, transportation, over-processing and defects. All the activities that do not add value to the process are considered Muda. Fujio Cho, former President of Toyota, defined waste as "anything other than the

minimum amount of equipment, materials, parts, space and worker's time, which are absolutely essential to add value to the product". Eliminating waste is the most effective way to increase productivity and decrease costs. Although **Muda** has gained bigger awareness, comprehending all three concepts allows for a greater understanding of **Lean** (Netland and Powell, 2016). **Mura** is the variation in a process that is not caused by the final customer, for example highs and lows in the planned production due to the production system or the irregular work rhythm. Leveling production using **JIT** can eliminate this irregularities, avoiding work spikes and long waiting times for workers. **Muri** means to overburden equipment or workers, demanding a faster rhythm for a longer period than expected. While in equipment it can provoke defects and failures, in people it can result in safety issues.

- Be **Gemba** oriented

Gemba is the place where value is added. Problems should be identified and solved there, at their root cause. Central to **KAIZEN™** is *genchi genbutsu* (go and see for yourself). Going to the **Gemba** means going to the place where the action really happens, to be able to thoroughly observe the reality of the processes.

- Empower people

Respect for people is a fundamental principle of the **KAIZEN™** philosophy. Kaizen recognizes that people are not the problem, processes are. It intends to improve every day, everywhere, with everyone, training all employees and encouraging people to think and share their own improvement ideas, systematically. It is in management's biggest interest to create the best possible conditions for everyone to do the best possible work.

- Be scientific and transparent

As important as identifying problems, is knowing how to explain and substantiate one's findings, supporting them with data. **Visual Management** is a basal tool of **KAIZEN™**, that highlights problems and allows for a quicker reaction to them.

6 The Problem at hand

6.1 Introducing the company

Now that we have introduced the base methodology of **KAIZEN™** we must understand the focus of this work. The project described has been implemented in a Pharmacology Company located on the Catalonia area. It focuses primarily on providing Contract Manufacturing and Packaging Services for Medicines and Dietary Supplements, both for Human and Veterinary use.

The facilities are equipped with state-of-the-art machinery and have a total area of 7.200 m², distributed across two facilities, one dedicated to the manufacturing of pharmaceuticals and the other to nutraceuticals.

In total the company has over 400 employees and about 80% of the workforce is established on the shop floor.

There are several manufacturing areas and work lines:

- TMP (Raw materials handling):

This section is where the mixture of active components, either liquids or solids, and ingredients are composed.

- PI (Compression):

In this section compression of solids into tablets occurs.

- PAC (Conditioning):

In this section the formula is conditioned. There are 3 forms of presentation:

Bottles: Only for liquids.

Jars: Containers of tablets for solids.

Pouches: For single use uncompress solids.

6.2 Scope and pilots

The scope of this project can be narrowed down into 3 **KAIZEN™ Events**, each one will be implemented in a different work line as a pilot.

Each **KAIZEN™** Event will be:

- Improvement of Line Efficiency.

Pilot: "Jars" Line

KPI: Line OEE

- Improvement of line Productivity

Pilot: "Liquids" Line

KPI: Line Productivity

- Improvement of planning

Pilot: Sourcing and production planning of PAC area.

KPI: OTIF

- Creating a system for daily management and continuous improvement culture.

Pilot: "Jars" Line

KPI: Economic impact of meetings sourced improvement ideas.

7 Improvement of Line Efficiency

7.1 Objective Function

As in any optimization problem, we must first define the objective function. In the **KAIZEN™** methodology, improvement efforts are directed toward what is most valuable for the client, often summarized by the principles of GQCDM:

- Growth
- Quality
- Cost
- Delivery
- Motivation

In this particular **KAIZEN™** event, the focus will be on minimizing production cost. Specifically, this is pursued by maximizing the sustainable production capacity of the line.

$$\text{Objective function} = \max \left(\frac{\text{Total output units}}{\text{Time window}} \right) \quad (1)$$

In other words, equation 1 seeks to maximize the throughput rate, for example the number of orders the factory can process in a year.

This can also be expressed as:

$$\text{Objective function} = \max (\text{Rated line speed} \times OEE) \quad (2)$$

Here, the rated line speed represents the theoretical design capacity, while *OEE* adjusts for availability, performance, and quality losses. The introduction of this efficiency factor will be discussed in the following section.

It is evident that production output is strongly embedded in the cost structure of a company. A significant share of manufacturing cost is related to the utilization of machines and operators. By producing more in less time, the cost per unit decreases, thereby improving overall competitiveness.

7.2 OEE and profits calculation method

Overall Equipment Effectiveness (OEE) is a standard metric used to measure the efficiency of a production line. It identifies how much of the planned production time is truly productive. OEE is calculated by multiplying three core components: **Availability**, **Performance**, and **Quality**.

7.2.1 Availability

Availability measures the proportion of scheduled production time during which equipment is operational and ready for use. It accounts for planned downtime, such as maintenance or shift breaks, as well as unplanned losses caused by equipment breakdowns or delays.[2]

$$A = \frac{\text{Operating Time (h)}}{\text{Planned Time (h)}} \quad (3)$$

With that definition we first have to acknowledge 2 main terms:

1. Planned Time: The total scheduled production time.
2. Operating time: The Planned Time minus all planned stoppages like changeovers, cleaning, and scheduled breaks.

7.2.2 Performance

Performance evaluates whether equipment is running at its optimal speed during production. It captures losses due to reduced speed or minor stoppages that may not halt production but reduce efficiency.[2]

$$\mu = \frac{\text{Actual Units Produced (units)}}{\text{Operating Time (h)} \times \text{Nominal Speed (units/h)}} \quad (4)$$

7.2.3 Quality

Quality assesses the proportion of defect-free products produced relative to the total output. This metric highlights losses due to rework or defective items, which reduce the overall effectiveness of the production process.[2]

$$Q = \frac{\text{Total OK unit output (units)}}{\text{Actual Units Produced (units)}} \quad (5)$$

7.2.4 OEE calculation

By combining these three components, we get the final OEE formula, which shows the overall efficiency of the production line.

$$OEE = A * \mu * Q \quad (6)$$

An OEE score of 100% represents perfect equipment effectiveness, with no downtime, optimal performance, and zero defects.[3]

Or in fair terms:

$$OEE = \frac{\text{Operating Time (h)}}{\text{Planned Time (h)}} \times \frac{\text{Actual Units Produced (units)}}{\text{Operating Time (h)} \times \text{Nominal Speed (units/h)}} \times \frac{\text{Total OK unit output (units)}}{\text{Actual Units Produced (units)}} = \frac{\text{Total OK unit output (units)}}{\text{Planned Time (h)} \times \text{Nominal Speed (units/h)}} \quad (7)$$

$$OEE = A * \mu * Q = \frac{\text{Total OK unit output (units)}}{\text{Planned Time (h)} \times \text{Nominal Speed (units/h)}} \quad (8)$$

7.2.5 Profit Calculation

Now that the concept of *OEE* is clear we could go back to equation 2. In **KAIZEN™** philosophy we focus on the non investment improvements. As we can infer changing the Nominal Speed of a line or machine could mean investing a huge amount of money in technology, instead of focusing on eliminating **Muda**. That's why we will focus on OEE as a **KPI** as the main metric for this project.

We can quantify the augmented capacity derived from an improvement in OEE as the reduced planned operating time of the line. In this work we will not be focused on improving sales directly, so the Total Number of units produced will be fixed. We wont focus on investing in new equipment, so the Nominal Speed of the line will stay constant. Every point of improvement of OEE will be inversely related to a decreased in the need for more planned time which in turns decreases the operating cost of labor of the line. Relating back to the objective function, equation 1.

7.3 Identifying improvement opportunities

As we have seen attacking the problem of OEE can be done from multiple angles. In our case the, after the we narrowed down the biggest oportunities.

The project started on Febuary. On that month we had an average:

- Disponibility=29.5%
- Performance=92.4%
- Quality=99.89%
- OEE=27.2%

8 References

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